A SHORT HISTORY OF FINANCIAL EUPHORIA

The Anatomy of a Delusion

BASED ON THE WORK OF JOHN KENNETH GALBRAITH

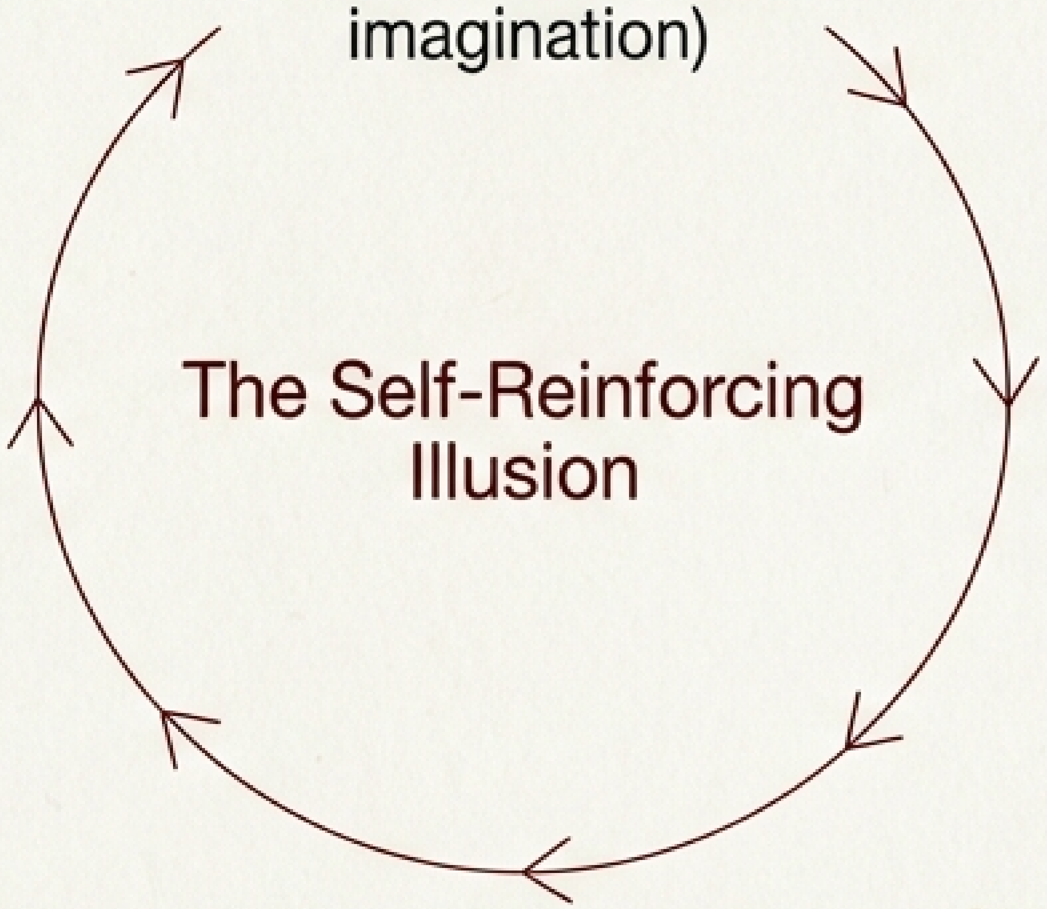
Figure 1: 'The Frenzy of the Crowd' – an 18th-Century Engraving.
The dissolution of the individual within the mass.

"Anyone taken as an individual is tolerably sensible and reasonable—as a member of a crowd, he at once becomes a a blockhead."

— Friedrich von Schiller

The free-enterprise economy is given to recurrent episodes of speculation. These are not random accidents; they are predictable cycles driven by mass psychology.

The Mechanism of Euphoria



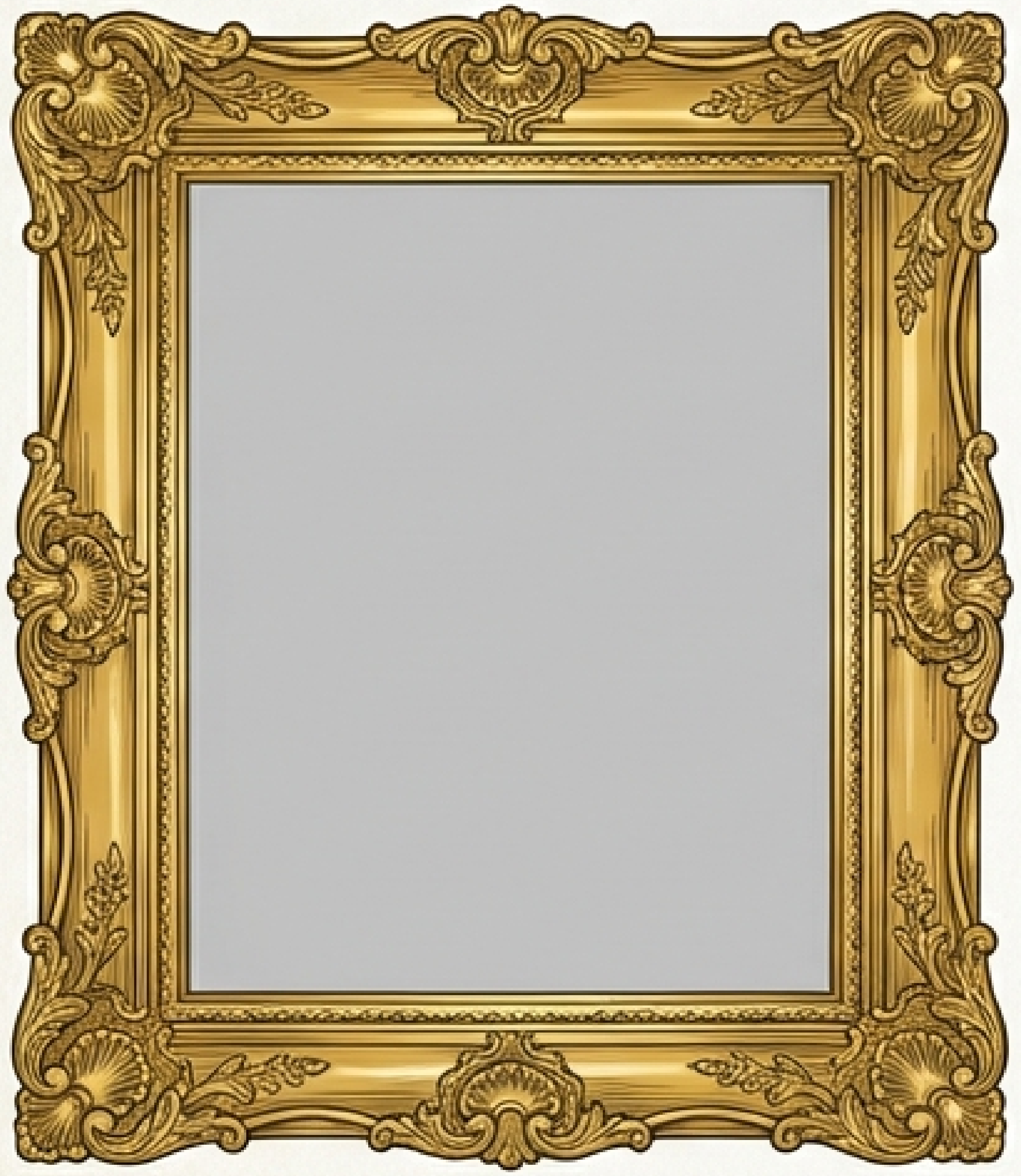
The speculative episode always ends not with a whimper but with a bang.

Enabler I: The Extreme Brevity of Financial Memory

There can be few fields of human endeavor in which history counts for so little as in the world of finance.

Past experience is dismissed as the primitive refuge of those who lack the insight to appreciate the incredible wonders of the present.

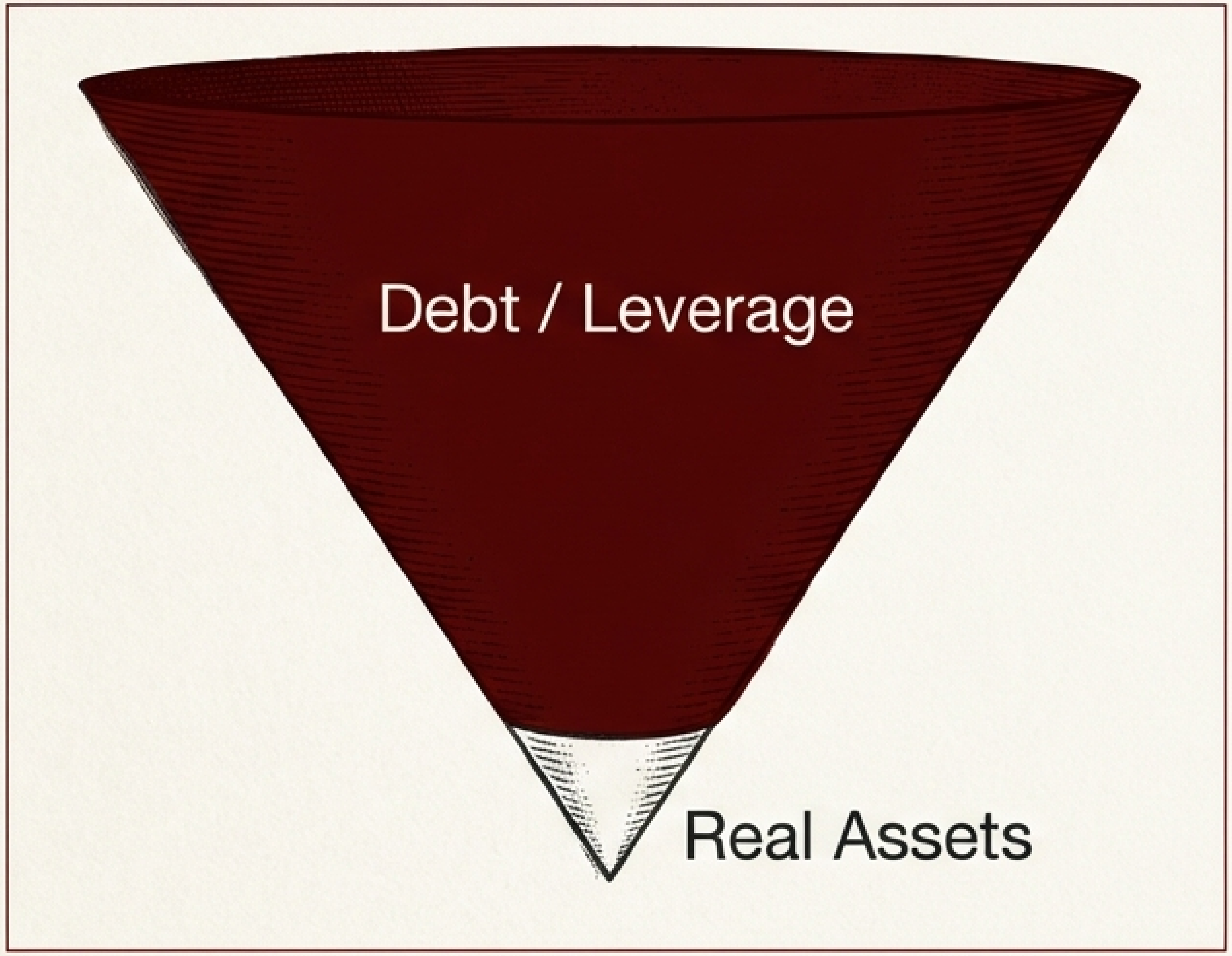
Enabler II: The Specious Association of Money and Intelligence



Money is the measure of capitalist achievement. The more money, the greater the achievement and the intelligence that supports it.

The Rule: Financial genius is before the fall.

The Trap of "Innovation"



- Financial operations do not lend themselves to innovation.
- Innovation is almost always just a variation of Leverage.
    - **17th Century:**
      Bank notes > Coin deposits
    - **1920s:** Holding companies
    - **1980s:** Junk Bonds

The Vested Interest in Error

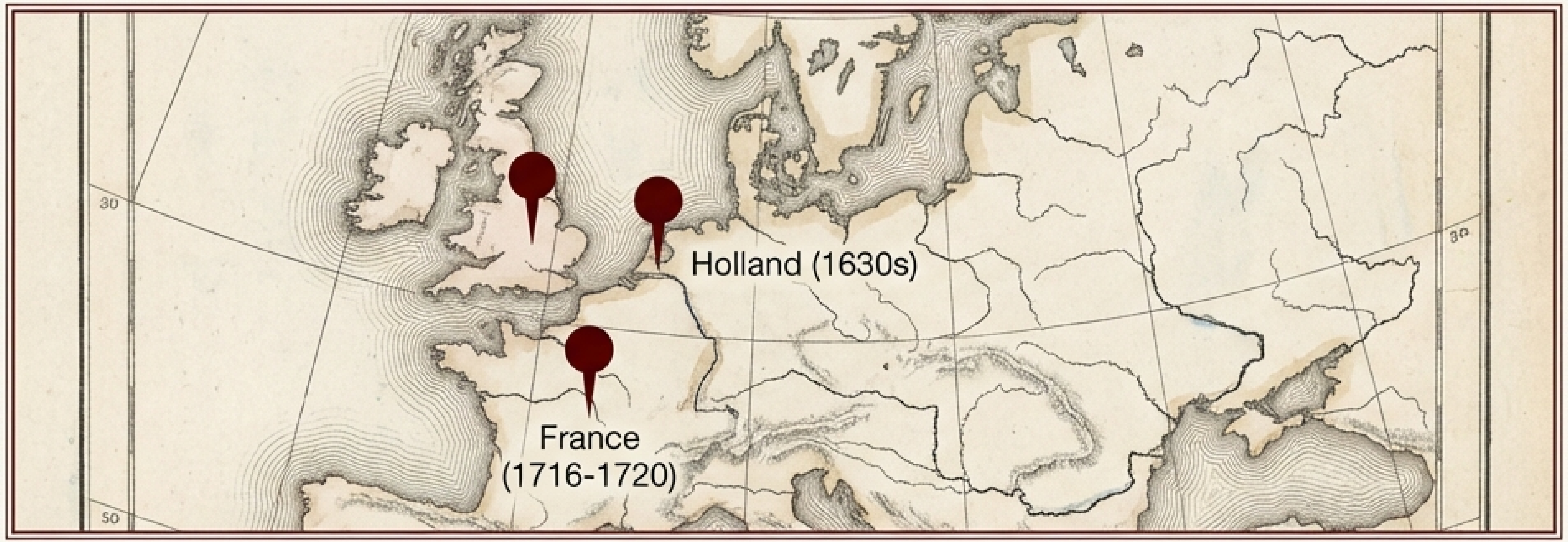
Roger Babson (1875-1967)

Participants view warnings as attacks on their wealth.

- **Paul M. Warburg (1929)**
  Accused of "sandbagging American prosperity."
- **Roger Babson (1929)**
  Dismissed for "notorious inaccuracy."
- **J.K. Galbraith (1955)**
  Received letters praying for his "demise."

The Evidence

Three Classic Cases of Mass Insanity



"Speculators may do no harm as bubbles on a steady stream of enterprise. But the position is serious when enterprise becomes the bubble on a whirlpool of speculation." — John Maynard Keynes

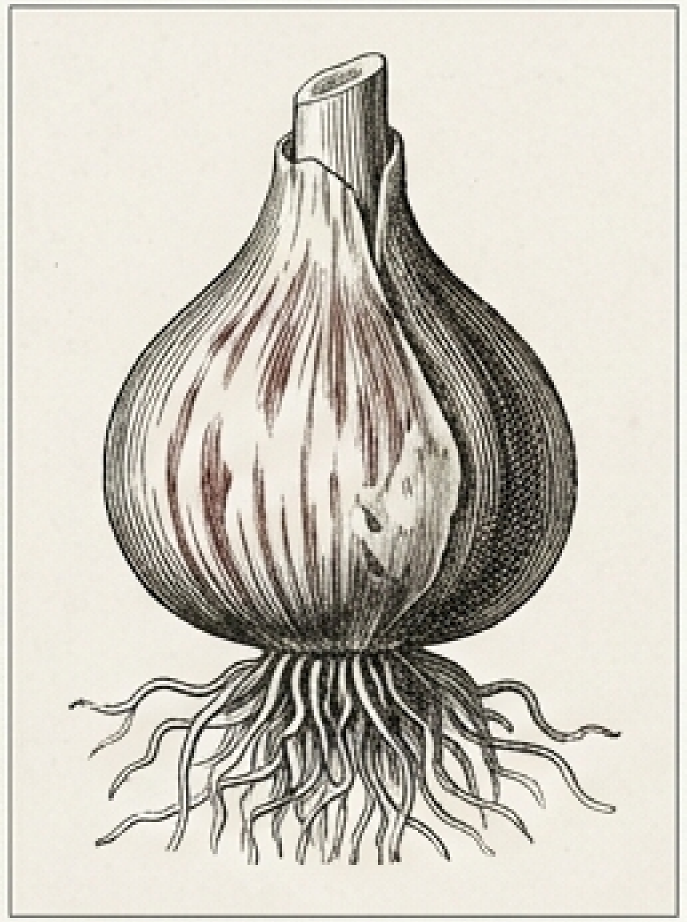
Case A: The Tulipomania (Holland, 1630s)

The Asset: The Tulip bulb (*Tulipa*).

The Setup: Appreciation of the flower's beauty quickly gave way to appreciation of the price increase.

Nothing more improbable ever contributed so wonderfully to the mass delusion.

The Mania



Semper Augustus
Tulip Bulb

=

A New Carriage + Two Grey
Horses + A Complete Harness

By 1636, the rush to invest engulfed all of Holland—nobles, chimney-sweeps, and maid-servants.

The Sailor's Mistake
Adobe Caslon Pro

A sailor mistook a bulb worth ~$50,000 for an onion and ate it with his herring.

The Collapse (1637)

The Trigger: The wise and nervous began to sell.

The Aftermath:

1. Leverage Unwind: Bankruptcy for those who pledged property.
2. Legal Failure: Courts categorized contracts as “gambling debts”.
3. Depression: A long economic chill settled over Holland.

Case B: The Man Who Would Be King (France, 1716-1720)

Portrait of John Law,
Financer & Adventurer.

Name: John Law

Origin: Scotland

Background: Gambler, Duelist, Escapee from Murder Charge.

Status: Celebrated as a genius because he controlled the money.

Mission: Rescue France's bankrupt treasury.

The Scheme

The Frenzy: Trading in the Rue Quincampoix was riotous. Women offered themselves for the right to buy shares.

The Unraveling

The Mendicant's Parade: Beggars marched through Paris to simulate a gold mining expedition.

- **The Catalyst:** Prince de Conti demands gold for his notes.
- **The Crash:** A run on the bank. 15 people crushed to death.
- **The Result:** Law flees into exile; France distrusts banks for a century.

Case C: The South Sea Bubble (England, 1711-1720)

Caption: Disregarded was the fact that Spain claimed the same territory.

The Asset:
A monopoly on trade with the Spanish Americas.

The Reality:
Spain claimed the territory and allowed only one voyage a year.

The Imitators

Insanity born of optimism.

I. Company for trading in Hair.

II. A Wheel for Perpetual Motion.

III. For carrying on an undertaking of great advantage, but nobody to know what it is.

The Bubble Act was passed to stop these rivals.

The Crash & The Scapegoats

Robert Harley, Earl of Oxford, founder of the South Sea Company.

Stock fell from £1,000 to £140.

The Villains:

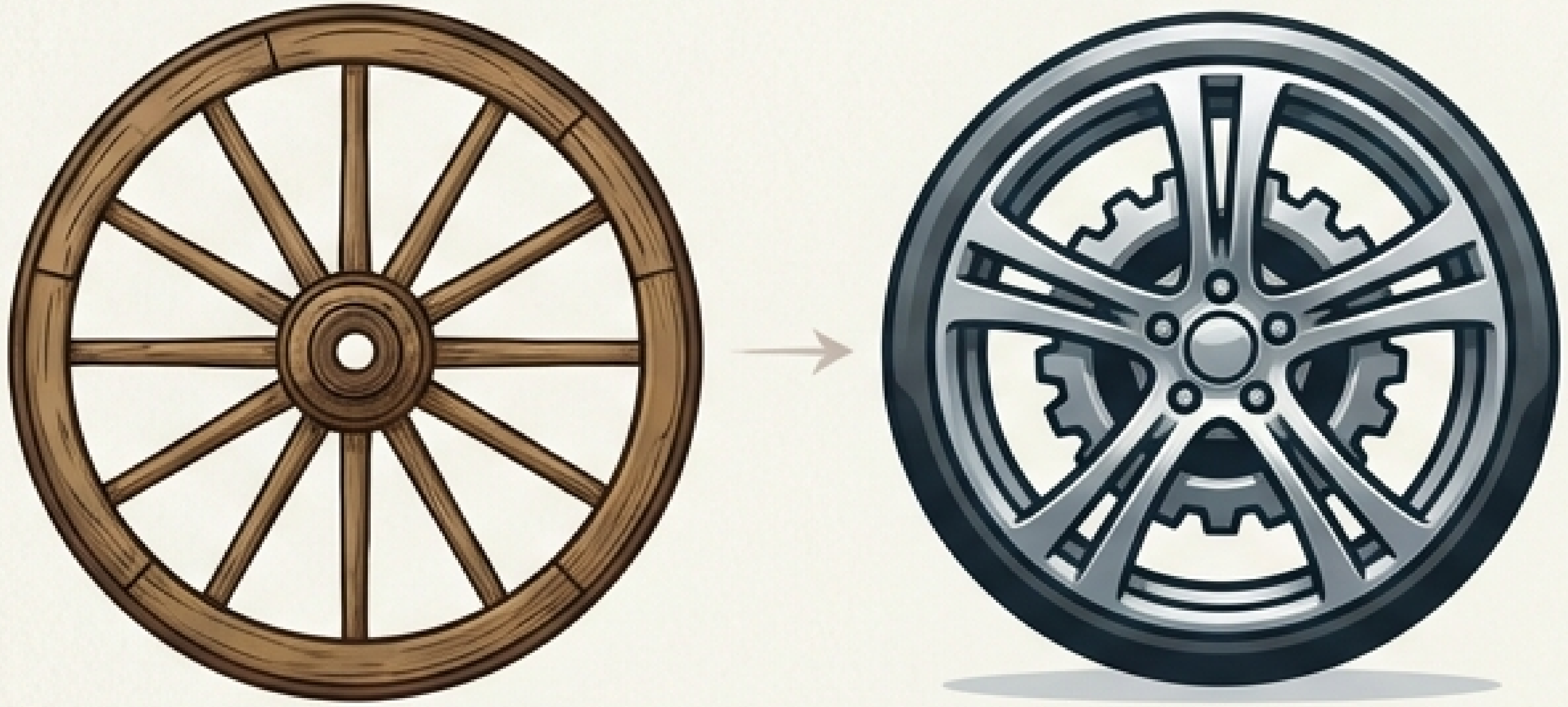
* **John Blunt**: Attempted assassination.
* **James Craggs**: Committed suicide.
* **Robert Knight**: Fled to exile.

"Nobody blamed the credulity and avarice of the people… These things were never mentioned."

Modern Echoes

The Wheel (Innovation)

New Wheel (Leverage)



The Wheel (Innovation)

New Wheel (Leverage)

The Pattern: The wheel is reinvented again and again.

* 1929: Holding Companies (Leverage)
* 1980s: Junk Bonds & M&A (Leverage)
* 1987: The Crash (Panic)

The ‘Genius’: Michael Milken ($550 million income in 1987). Viewed as an innovator; later incarcerated. The parallel to John Law is direct.

The Grim Face of Disaster

The Aftermath Reaction

Stage 1: Anger → **Stage 2: Theological Denial** → **Stage 3: External Causes**

- Stage 1: Anger — (Directed at the “innovators”)
- Stage 2: Theological Denial — (The market cannot be wrong)
- Stage 3: External Causes — (Blaming taxes, deficits, or program trading)

“In the aftermath of speculation, the reality will be all but ignored.”

The Only Protection

Regulation and orthodox knowledge do not protect us.

The Solution: A clear perception of the mass insanity and a healthy skepticism of:

1. Financial innovation (Debt).
2. The idea that money equals intelligence.

"There is protection only in a clear perception of the characteristics common to these flights... Only then is the investor warned and saved."